

For lecture in Week 1

Multiple Choice Questions (More than one correct answers)

1. Why are financial institutions important in an economy?

- A) They facilitate the efficient allocation of funds from savers to borrowers.
- B) They eliminate the risk of investment losses.
- C) They help reduce transaction costs.
- D) They completely remove information asymmetry in financial markets.

Answer: A, C

2. What are the main functions of financial intermediaries?

- A) Reducing transaction costs through economies of scale
- B) Providing liquidity to investors
- C) Eliminating all risks associated with lending and borrowing
- D) Helping to solve problems of information asymmetry

Answer: A, B, D

3. Why is indirect finance more important than direct finance in most economies?

- A) Financial intermediaries can pool resources and offer diversified investments.
- B) Banks can help reduce information asymmetry problems.
- C) Direct finance is risk-free, whereas indirect finance carries more risk.
- D) Transaction costs in direct finance are typically higher due to underwriting, legal, and administrative costs.

Answer: A, B, D

4. Which of the following statements about financial structure are correct?

- A) Stocks are the most important source of external financing for businesses.
- B) Indirect finance is more important than direct finance.
- C) Only large, well-established corporations have easy access to securities markets.
- D) The financial system is one of the most heavily regulated sectors in the economy.

Answer: B, C, D

5. Why do financial institutions reduce transaction costs?
- A) They allow for economies of scale in lending and investment activities.
 - B) They completely eliminate the need for contracts and legal agreements.
 - C) They have expertise in credit risk assessment and financial management.
 - D) They increase liquidity in financial markets, making it easier to buy and sell financial instruments.

Answer: A, C, D

6. Why do debt contracts typically require collateral?
- A) To reduce the lender's risk in case the borrower defaults
 - B) To completely eliminate the risk of moral hazard
 - C) To make it easier for borrowers to obtain financing at lower interest rates
 - D) To ensure that borrowers have a strong incentive to repay the loan

Answer: A, C, D

Multiple Choice Questions (1 correct answer)

1. Which of the following is NOT considered a financial institution?
- A) Banks
 - B) Insurance companies
 - C) Mutual funds
 - D) Central government

Answer: D

2. What is the most important source of external financing for businesses?
- A) Issuing stock
 - B) Issuing bonds
 - C) Bank loans
 - D) Crowdfunding

Answer: C

3. What type of finance is more important for firms?
- A) Financial intermediaries
 - B) Securities markets
 - C) Private equity
 - D) Venture capital

Answer: A

4. Why is direct finance less common than indirect finance?
- A) It is more regulated

- B) It involves lower transaction costs
- C) It is less efficient for small investors
- D) Financial intermediaries prefer it

Answer: C

5. What is a collateral in financial terms?

- A) A pension fund
- B) A mutual fund
- C) Property pledged to guarantee payment
- D) A bond rating

Answer: C

6. What role does collateral play in debt contracts?

- A) It is irrelevant
- B) It tries a guarantee for payment
- C) It always reduces the interest rate
- D) It increases the number of transactions

Answer: B

7. Which sector has easy access to securities markets?

- A) Small startups
- B) Large well-established corporations
- C) Non-profit organizations
- D) Individual entrepreneurs

Answer: B

8. What is the impact of transaction costs on financial markets?

- A) They encourage direct investment by small savers
- B) They have no impact
- C) They hinder capital flow and affect the structure
- D) They increase the efficiency of the markets

Answer: C

9. How do financial intermediaries reduce transaction costs?

- A) By increasing market prices
- B) By taking advantage of economies of scale
- C) By limiting access to financial markets
- D) By promoting direct finance

Answer: B

10. Which of the following is a reason for the heavy regulation of the financial system?

- A) To promote investment in technology
- B) To educate investors
- C) To protect consumers and maintain stability

- D) To increase taxes

Answer: C

11. What contributes to financial underdevelopment in a country's financial system?

- A) High government regulation
- B) High levels of direct finance
- C) Strong legal systems
- D) Weak accounting standards and inadequate regulation

Answer: D

12. What is one bright side of financial intermediaries?

- A) They increase transaction costs
- B) They have expertise in collecting information and providing multiple financial services
- C) They prefer direct over indirect finance
- D) They are less regulated

Answer: B